

LYEL pitch deck

PITCH — LYEL — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: DO NOT BUY TODAY at \$13.95. The drug looks real and the stock looks cheap *if the company were funded* — but it isn't, and every path to the data runs through selling more stock below what the business would be worth funded. Reopen on any of four named triggers below. (Red bench: reject, conviction 6/10. Blue bench: reject-entry-now survives but as a sizing/timing gate, not a kill, conviction 7/10.)

What we believe

Lyell Immunopharma is now essentially a one-drug company: ronde-cel, a CAR-T cell therapy for patients with large B-cell lymphoma who have already failed at least two prior treatments. The clinical data presented so far is genuinely better than the two approved competitors on the same measures: 76% of patients had a complete response, and half were still progression-free at 18 months — versus 58% complete response and 5.8 months for Yescarta (the ZUMA-1 trial) and 53% and 6.8 months for Breyanzi (TRANSCEND). Both of our adversarial benches checked this against the primary literature and conceded it holds on its face ([ZUMA-1 five-year follow-up](#)).

The company has \$228.0M in cash (per the August 6 earnings 8-K, [primary source](#)), enough to operate into the third quarter of 2027. Pivotal trial data is guided for mid-2027 and a regulatory filing in the second half of 2027. At today's price the market values the whole business, net of cash, at roughly \$160M.

But we believe the equity today is not yet a clean claim on that drug. The cash runs out *before* approval, the only committed funding is a \$150M at-the-market stock-sale program that is 99% undrawn, the share count already grew 66% in thirteen months, a newly launched 400-patient head-to-head Phase 3 trial adds a roughly \$200M future cost, and 1.1 million shares (about 4.5% of all shares outstanding) held by a licensing partner became freely sellable on July 21. Until the company either lands a partner or announces a near-term data date it can raise against, each new share sold likely prices below what the drug is worth.

What the market believes

The stock is down 69% from its 52-week high and sits about 33% above its low — but an important caveat our red bench initially missed: the company did a 1-for-20 reverse split in May 2025, so the \$45 “high” is really \$2.25 in old-share terms. This has traded like a distressed micro-cap, not a fallen mid-cap. The market's implicit view is: promising single-arm data, but a sub-\$400M-market-cap biotech that must sell stock repeatedly before its 2027 catalysts, competing against two entrenched approved products from much larger companies, in a patient pool that is shrinking as those competitors move into earlier lines of treatment and off-the-shelf alternatives grow. Institutional signal is neutral: the founding

crossover investor Foresite has held its position essentially flat (more on this below — our red bench initially got it wrong). Short interest is reportedly around 11%, though we could not verify that this session.

Why we might have edge

1. **The clinical bar is genuinely cleared, on the primary evidence.** Both benches — including the one assigned to kill the idea — confirmed the response-rate and durability advantage against the approved benchmarks from the original trial publications, not from company slides.
2. **The market may be pricing the financing, not the asset.** Our funded-value analysis (the “what would this be worth if money were no object” table both benches were required to build) shows the funded business exceeds today’s price under mid-case assumptions: roughly \$17/share at \$400M peak sales and roughly \$29 at \$800M, versus \$13.95 on the tape. Unlike cases where the asset itself fails that test, here the asset clears — the financing path is the whole problem. Problems that are about *when and how*, rather than *whether*, are the kind that resolve.
3. **The head-to-head Phase 3 is an underpriced option.** Our blue bench caught our own red bench counting this trial’s ~\$200M cost while ignoring its prize: a superiority win directly against Yescarta/Breyanzi would open the full ~\$1.5B+ CAR-T-eligible market, not just the shrinking third-line niche. The desk also has a documented history of setting fair values about 13% too low; adjusting for both, the mid-case clears our +50% hurdle.
4. **The bearish “smart money is leaving” story is false.** We proved it false ourselves — see the table below.

Why it might be priced in

Honesty requires the symmetric case, and it is strong:

1. **The comparison is cross-trial.** 76% vs 58% comes from comparing different studies with possibly different patient populations. We never obtained the baseline patient-characteristics table, so we cannot rule out that Lyell enrolled healthier patients. This is a live, unresolved hole in the bull case.
2. **The addressable pool is shrinking.** Competitors have moved CAR-T into second-line treatment, and off-the-shelf bispecific antibodies are growing — both drain the third-line-and-later pool. Rondecel would launch in 2028-29. J&J walked away from a partnered asset in this space citing a “shifting landscape.” Neither bench could quantify the erosion; both flagged it as plausible and unpriced in our own model.
3. **Dilution is demonstrated, not hypothetical.** Share count went from 14.8M to 24.5M in thirteen months. Blue bench softened this — most of it was a PIPE done at \$25.61, nearly twice today’s price, so past issuance was actually done *above* value — but the forward-looking version stands: the next dollars come from an at-the-market program selling at \$13.95.

4. **Fresh supply overhang.** The 1.1M zero-cost-basis ICT shares registered for resale in July are 4.5% of shares outstanding in a thin float.
5. **Concentration.** Three of six pipeline programs were terminated and one partner trial withdrawn. There is no diversification if ronde-cel disappoints; the remaining second asset carries a 55% rate of moderate-or-worse colitis.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The July S-3 filing = the company's ATM stock-sale shelf (original brief's claim)	Fetches the S-3 itself (primary)	It is a <i>resale</i> registration: 1.1M shares held by ICT Holdings (paid in stock for a license in Nov 2025); "we are not selling any securities under this prospectus." The ATM rides an earlier shelf.	Our original brief was wrong — and the truth is worse: 4.5% of shares outstanding, freshly free to sell.
Response data beats approved competitors	Primary trial literature (ZUMA-1, TRANSCEND), pulled by the bench assigned to kill the idea	76% CR / 18-mo durability vs 58%/5.8mo and 53%/6.8mo	Yes, on face — but cross-trial only; baseline patient table never obtained.
"Dilution up to +44%" (brief's bear ceiling)	Audited share counts in the filings, with a reverse-split consistency check	+66% in 13 months — the brief's ceiling was already exceeded. Mitigant: the bulk was priced at \$25.61, above value.	Brief's number wrong; red's correction confirmed; blue reduced severity.
Foresite (founding investor) cut its stake to 2.7% — smart money exiting	Red bench asserted this from the new 13G/A alone. Blue pulled the prior Oct-2024 13G and applied the 1-for-20 split: 13,683,858 old shares = 684,193 new; current holding 653,328.	Position essentially flat (−4.5%). The 5.3%→2.7% drop is the share count growing, not Foresite selling.	Red bench erred; overturned. Neutral, not bearish.
Cash \$228.998M (brief)	Earnings 8-K exhibit	\$228.0M, runway "into the third quarter of 2027"	Brief off by ~\$1M — immaterial, corrected.
"Every catalyst is gated behind stock issuance" (red's strongest kill)	8-K guidance timeline vs runway	Pivotal data (mid-2027) and the H2-2026 data update both land <i>inside</i> the runway; the forced raise sits between data and filing.	Red overstated it. The normal raise-on-good-data path is open.
Red's funded-value table	Blue bench audit	Red charged the new Phase 3's ~\$200M cost but excluded its prize (the ~\$1.5B+ head-to-head market) — cost counted, upside omitted.	Red bench erred; asymmetry corrected.
400-patient head-to-head Phase 3 is real and enrolling	ClinicalTrials.gov registry (NCT07188558)	Recruiting, ~400 patients, vs investigator's choice of approved CAR-T	Yes.
\$45 52-week high implies huge rebound	Split history in the filings	1-for-20 reverse split May 2025; the "high" is \$2.25 in pre-split terms	Red missed this; blue caught it. Rebound

Claim	How checked	Found	Confirmed?
room			framing is misleading.
11.33% short interest	Conditioning-layer check	Access denied this session	Not confirmed. Squeeze risk unadjudicated.

PROPOSED ENTRY BANDS

The courts say no entry today. These are the reopen bands, built from the benches' own numbers (funded value $\approx$ \$10/share in the bear case, $\approx$ \$17 mid-case, $\approx$ \$29 bull case; PIPE reference \$25.61; red's "change-my-mind" ATM level $\sim$ \$18):

- **Reopen trigger A — a named data date.** The company announces a specific date for the H2-2026 third-line data update or the mid-2027 pivotal readout. *Then:* starter position $\sim$ 0.5% of book at or below $\sim$ \$15, because a dated catalyst inside the cash runway breaks the "issuance before data" logic.
- **Reopen trigger B — real money that isn't stock.** A partnership, co-development with cost-sharing, or any non-dilutive capital $\geq$ \$100M (arrives as an 8-K). *Then:* starter up to $\sim$ 1% of book at market; adds up to a 1.5% cap only after the pivotal data itself.
- **Reopen trigger C — the ATM turns out to have been drawn high.** The Q3 print ($\sim$ Nov 6, date unconfirmed) discloses substantial ATM sales at prices above $\sim$ \$18. *Then:* re-run the court — the financing objection is materially retired.
- **Reopen trigger D — overhang cleared.** Evidence the 1.1M ICT resale shares have been absorbed without breaking the tape.
- **Price-only band:** below **$\sim$ \$10.50** (tape at/below the *bear-case* funded value and the 52-week low), re-run the court rather than auto-buy — at that price the market is paying you the worst funded outcome for free, but a break there may also mean new bad facts.
- **Sizing discipline throughout:** this is a financing-risk name, so the response is a size cap (max $\sim$ 1.5% of book pre-approval), not a price target. No exits/trimms apply — we hold no position and no orders.
- **Catalyst calendar:** Q3 print $\sim$ 2026-11-06 (unconfirmed); third-line data update H2-2026 (no date named); pivotal data mid-2027; cash runway ends Q3-2027; regulatory filing 2H-2027.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 10.5 (deck-provisional: tape at/below the bear-case fully-funded value ($\sim$ \$10/sh) and the 52-week low - re-run the court, do no)
- filing watch: 8-K until 2027-02-11 (deck-provisional: all four reopen triggers (partnership/non-dilutive $\geq$ \$100M, named data date, financing terms) arrive a)

- dated pack LYEL|2026-11-06: LYEL: Q3-2026 print - first ATM-draw disclosure (yfinance-derived, not company-confirmed) (date confirmed=False)
- dated pack LYEL|2026-12-31: LYEL: H2-2026 third-line data update window per company guidance (no day named) (date confirmed=False)
- dated pack LYEL|2027-06-30: LYEL: PiNACLE pivotal data 'mid-2027' per 8-K guidance (no day named) (date confirmed=False)
- dated pack LYEL|2027-09-30: LYEL: cash runway 'into Q3-2027' ends - mandatory raise sits before the 2H-2027 BLA (date confirmed=False)

What remains unverified

- **The baseline patient table** for the pivotal-supporting data — without it, “beats the approved drugs” remains a cross-trial comparison that could reflect patient selection. Both benches flagged this; neither closed it. Highest-value open item.
- **Short interest (~11.33% claimed)** and overall crowding/positioning — the conditioning check was denied this session; squeeze mechanics are unadjudicated in both directions.
- **The size of the market-shrinkage problem** — how fast second-line CAR-T and bispecifics drain the third-line pool. Both benches called it plausible; neither quantified it.
- **The next earnings date (2026-11-06)** is derived from a data vendor, not confirmed by any company press release.
- **Live broker quote** — the \$13.95 anchor is the evidence-pack tape; the live-quote rule was not met this session (permission denied).
- **OSHA/site checks on the Bothell manufacturing facility** — connectors unavailable; existence and status unverified.

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